

[REDACTED]

NATIONAL ENERGY REGULATOR OF SOUTH AFRICA

In the matter regarding

**AN AMENDMENT APPLICATION TO THE CONDITIONS OF A COMBINED LICENCE
ISSUED FOR THE OPERATION OF A PETROLEUM PIPELINE AND PETROLEUM
STORAGE FACILITIES IN ISLAND VIEW, DURBAN, KWAZULU-NATAL PROVINCE**

by

BP SOUTHERN AFRICA (PTY) LTD AND SHELL SOUTH AFRICA ENERGY (PTY) LTD

Licence Number

PPL.p.F3/8/2006/AM2

THE DECISION

- 1 On **30 June 2025**, the National Energy Regulator of South Africa approved the second amendment of the conditions of the combined licence issued for the operation of petroleum facilities in Island View, KwaZulu-Natal Province (Licence Number PPL.p.F3/8/2006/AM2).
- 2 The amendments of the licence conditions are summarised below.
 - 2.1. The facility details in the licence condition 1.1 are amended as follows:

The Energy Regulator grants the licensee a licence for the operation of petroleum storage facilities in Island View, Durban, KwaZulu-Natal, consisting of the following:

 - a) *A storage facility in Island View Site one (1) with 16 tanks*
 - b) *A storage facility in Island View Site two (2) with six (6) tanks*
 - c) *A storage facility in Island View Site three (3) with 12 tanks*
 - d) *A storage facility on Bayhead Site A with eight (8) tanks; and*
 - e) *Auxiliary pipelines connecting Island View Sites 1, Island View Site 2, Island View Site 3, Bayhead A, Berth 6, Berth 7, Berth 8 and the Transnet Multi-Product Pipeline (28 auxiliary pipelines connecting to all sites).*
 - 2.2. **Annexures B-2, B-3, C-1, C-2, C-3, and F** in the current conditions of licence are replaced with new updated Annexures.

- [REDACTED]
- 3 The addendum to the operation licence conditions (PPL.p.F3/8/2006/AM2) is attached hereto as **Annexure 1**.

Signed in **PRETORIA** on the 09th day of July 2025

Nd P Sithole

Adv. Nomalanga Sithole

Chief Executive Officer

National Energy Regulator of South Africa

REASONS FOR DECISION

1. BACKGROUND

Original licence issued

- 1.1. On 14 September 2009 and in terms of Petroleum Pipelines Act, 2003 (Act No 60 of 2003) ('the Act'), the National Energy Regulator of South Africa (NERSA or the Energy Regulator) issued bp Southern Africa (Pty) Ltd ('bpSA') and Shell South Africa Energy (Pty) Ltd ('Shell') jointly operating as SAPREF ('Licensee' or 'the Applicant') with a combined licence for the operation of petroleum pipelines and storage facilities in Durban, KwaZulu Natal Province (PPL.p.F3/8/2006).
- 1.2. The group of facilities included five (5) storage sites within Island View and several pipelines interconnecting these storage sites, including transfer pipelines between the previous SAPREF refinery and National Crude Oil Storage ('NATCOS') in Durban. The details of the facilities as initially licensed are shown below:
 - a) Six (6) transfer pipelines of various sizes between SAPREF and the Island View complex at the Durban harbors;
 - b) One 14" crude oil pipeline between SAPREF and NATCOS;
 - c) One 2" butane pipeline between SAPREF and National Chemical Products (NCP);
 - d) Fifteen (15) interconnecting pipelines at the Island View complex at the Durban harbour;
 - e) Twenty (20) pipelines connecting the loading facilities at several Durban harbour berths and the storage facilities at the Island View complex; and
 - f) Forty-seven (47) storage tanks located at five (5) sites at the Island View marine terminal at the Durban harbour.

First Amendment approved

- 1.3. On 06 April 2022, the Energy Regulator approved the first amendment of the conditions of the combined licence issued to SAPREF. The rationale for the amendment as requested by SAPREF was for NERSA to remedy some of the challenges associated with the then combined licence which had to be restructured with the removal of some licensed activities and removal of terms that were not recognised in the Act and to include the SAPREF replacement tanks constructed by Transnet as part of the multi-product product (MPP) project.

1.4. Following the first amendment, the combined licence was structured as detailed below:

- a) A storage facility in Island View Site one (1) with 15 tanks
- b) A storage facility in Island View Site two (2) with eight (8) tanks
- c) A storage facility in Island View Site three (3) with 13 tanks
- d) A storage facility in Bayhead Site A with six (6) tanks
- e) A storage facility in Bayhead Site B with two (2) tanks
- f) Auxiliary pipelines connecting Island View Sites 1, Island View Site 2, Island View Site 3, Bayhead A, Bayhead B, NATCOS, Engen B facility, Berth 4, Berth 6, Berth 7 and Berth 8 (31 auxiliary pipelines connecting to all sites); and
- g) One 14-inch crude oil pipeline between SAPREF and NATCOS.

1.5. The below diagram shows the group of facilities as described above.

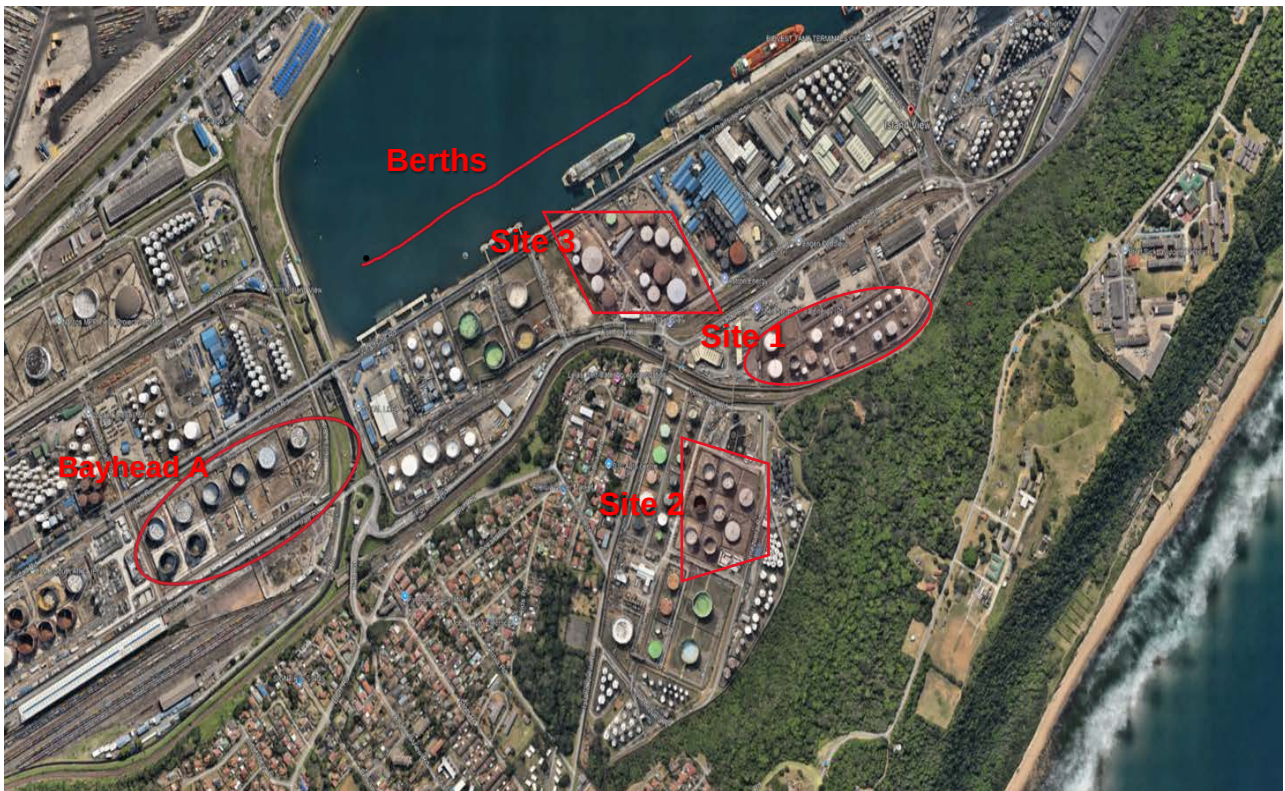


Figure 1: SAPREF group of storage facilities

2. THE APPLICATION

2.1. On 02 December 2024, SAPREF applied to NERSA for the second amendment of the conditions of the combined licence issued for the operation of the petroleum facilities in Durban. The application was made by the licensee in terms of section 23(1)(a) of the Act.

2.2. In its application, SAPREF seeks to amend its licence conditions by correcting certain information such as number of tanks, diameter of some tanks, the design and operational capacities, product changes and inclusion of other auxiliary pipelines. In addition, SAPREF further seeks the removal of redundant assets that are no longer in use to ensure that the operation licence only contains assets that are in operation and will be used for the foreseeable future.

2.3. The proposed amendments are as follows:

i) For Island View Site 1 storage facility (details in Annexure C-1 of Licence Conditions) consisting of:

- A storage facility with seventeen (17) tanks to be amended to sixteen (16) tanks with a combined design capacity from 81 441m³ to 78 879m³, a change in products stored and a correction of both design and operational capacities.

Table 1: Island View Site 1¹

Current Licence Conditions					Proposed Amendments			
No of tanks	Tank No	Product	Design Capacity [m ³]	Operational Capacity [m ³]	Product	Design Capacity [m ³]	Operational Capacity [m ³]	
1.	T2407	Mogas	10 256		Mogas	10 256		
2.	T2418	Avgas	2 744		Remove from licence – redundant tank reached retirement			
3.	T2431	Avgas	2 145		Avgas	2 145		
4.	T2432	Jet fuel	5 416		Jet fuel	5 416		
5.	T2433	Jet fuel	8 472		Jet fuel	8 489		
6.	T2434	Avgas	1 640		Avgas	1 640		
7.	T2435	Mogas	13 082		Mogas	13 082		
8.	T2436	Kerosene	13 129		Kerosene	13 129		
9.	T2440	Kerosene	1 367		Kerosene	1 362		
10.	T2441	LAWS	2 117		Kerosene	2 123		
11.	T2442	Jet fuel	3 058		Jet fuel	3 058		

¹ **Where:** Mogas =Motor gasoline, i.e. Petrol; LAWS = Low Aromatic White Spirits; Avgas = Aviation gasoline; LSAGO = Low Sulphur Automotive Gas Oil, i.e. Diesel AGO50P = Automotive Gas Oil

Current Licence Conditions					Proposed Amendments		
No of tanks	Tank No	Product	Design Capacity [m³]	Operational Capacity [m³]	Product	Design Capacity [m³]	Operational Capacity [m³]
12.	T2443	Laws	265		Kerosene	265	
13.	T2445	LSAGO	1 588		LSAGO	1 588	
14.	T2446	LSAGO	357		LSAGO	357	
15.	T2485	AGO50P	8 518		AGO50P	8 501	
16.	T2486	AGO50P	5 078		AGO50P	5 078	
17.	T2487	AGO50P	2 207		AGO50P	2 390	
TOTAL			81 441			78 879	

Note: text highlighted in blue indicates the proposed changes to the facility details

ii) For Island View Site 2 storage facility (details in Annexure C-2 of Licence Conditions) consisting of:

- A storage facility with six (6) tanks to be amended with a correction of both design and operational capacities.

Table 1: Island View Site 2

Current Licence Conditions					Proposed Amendments		
No of tanks	Tank No	Product	Design Capacity [m³]	Operational Capacity [m³]	Product	Design Capacity [m³]	Operational Capacity [m³]
1.	T2268	Mogas	12 383		Mogas	12 383	
2.	T2269	Mogas	12 343		Mogas	12 343	
3.	T2270	Mogas	12 352		Mogas	12 352	
4.	T2271	Mogas	12 300		Mogas	12 302	
5.	T2272	Mogas	12 378		Mogas	12 378	
6.	T2273	Mogas	12 347		Mogas	12 347	
TOTAL			74 104			74 105	

Note: text highlighted in blue indicates the proposed changes to the facility details

iii) For Island View Site 3 storage facility (details in Annexure C-3 of Licence Conditions) consisting of:

- A storage facility with twelve (12) tanks to be amended with a correction of both design and operational capacities, including products to be stored.

Table 2: Island View Site 3²

Current Licence Conditions					Proposed Amendments			
No of tanks	Tank No	Product	Design Capacity [m³]	Operational Capacity [m³]	Product	Design Capacity [m³]	Operational Capacity [m³]	
1.	T2350	VLSFO	34 124		VLSFO	34 124		
2.	T2351	VLSFO	12 345		VLSFO	12 345		
3.	T2352	VLSFO	12 324		VLSFO	12 324		
4.	T2353	HSFO	5 715		HSFO	5 599		
5.	T2354	HSFO	7 719		HSFO	7 719		
6.	T2359	DMA	4 970		DMA	4 970		
7.	T2360	DMA	4 941		DMA	4 941		
8.	T2361	DMA	5 664		DMA	5 664		
9.	T2365	HSFO	21 945		HSFO	21 945		
10.	T2366	VLSFO	27 974		VLSFO	27 832		
11.	T2371	DMA	8 546		AGO50P	8 546		
12.	T2379	DMA	4 189		AGO50P	4 189		
TOTAL			150 456			150 198		

Note: text highlighted in blue indicates the proposed changes to the facility details

iv) For Bayhead Site A and Site B storage facilities (details in Annexure C-3 of Licence Conditions) consisting of:

- A storage facility with eight (8) tanks to be amended with a correction of both design and operational capacities, and reference to Bayhead Site B to be removed as the site no longer exists.

Table 3: Bayhead A & B Site

Current Licence Conditions					Proposed Amendments			
No of tanks	Tank No	Product	Design Capacity [m³]	Operational Capacity [m³]	Product	Design Capacity [m³]	Operational Capacity [m³]	
1.	T2101	AGO50P	22 072		AGO50P	22 171		
2.	T2102	AGO50P	21 568		AGO50P	21 938		
3.	T2103	AGO50P	22 061		AGO50P	22 061		
4.	T2104	AGO50P	22 010		AGO50P	22 010		
5.	T2105	AGO50P	21 846		AGO50P	21 846		
6.	T2106	Mogas	22 180		Mogas	22 180		
7.	T2107R2	Mogas	22 247		Mogas	24 327		

² **Where:** VLSFO= Very Low Sulphur Fuel Oil; HSFO= High Sulphur Fuel Oil; DMA= Distillate Marine Fuel; AGO50P=Automotive Gas Oil

Current Licence Conditions					Proposed Amendments		
No of tanks	Tank No	Product	Design Capacity [m³]	Operational Capacity [m³]	Product	Design Capacity [m³]	Operational Capacity [m³]
8.	T2108R2	Mogas	22 098		Mogas	24 314	
TOTAL			176 082			180 848	

Note: text highlighted in blue indicates the proposed changes to the facility details

v) For the auxiliary pipelines between the storage facilities (details in Annexure B-3 of Licence Conditions) consisting of fifteen (15) auxiliary pipelines to be amended as follows:

Table 4: Auxiliary (transfer) Pipelines running between the storage facilities

Current Licence Conditions with the Proposed Amendments highlighted			
No of pipelines	Pipe Diameter	Route	Length (m) (bi-directional)
1.	6"	Island View Site 3 to Island View Site 2 via Site 1 (Petrol)	371
2.	6"	Island View Site 3 to Island View Site 1 (Marine Diesel Fuel Oil/Diesel)	320
3.	6"	Island View Site 3 to Island View Site 1 (Marine Fuel Oil)	475
4.	6"	Island View Site 3 to Island View Site 1 (Aviation Gas)	386
5.	10"	Bayhead A to Island View Site 3 (Diesel)	1 030
6.	10"	Island View Site 3 to Island View Site 1 via Site 2 (Diesel)	682
7.	10"	Island View Site 1 to Island View Site 2 (Multi Products)	650
8.	12"	Bayhead A to Bayhead B (Petrol)	510
9.	14"	Island View Site 3 to Caltex/Chevron* loading facility (Marine Fuel Oil)	171
10.	14"	Island View Site 1 to Island View Site 2 (Petrol)	426
11.	16"	Suction Line Bayhead A to Bayhead B (Petrol)	480
12.	16"	Bayhead to NATCOS (Petrol)	544
13.	6/8"	Island View Site 3 to Island View Site 2 via Site 1 (Petrol)	371
14.	8/6"	Island View Site 2 to Engen B Facility (Kerosene)	312
15.	14/10"	Island View Site 2 to Island View Site 1 (Petrol)	60

Notes: Highlighted underlined text is being removed

* Now Astron Energy

- vi) Annexure B-2 of Licence Conditions consisting of the crude oil pipeline between NATCOS and SAPREF is proposed to be removed and is amended as follows.

Table 5: Crude oil pipeline

Current Licence Conditions with the Proposed Amendments highlighted			
No of pipelines	Pipe Diameter	Route	Length (m) (bi-directional)
1.	14"	NATCOS to SAPREF (10 000m ³ /hr capacity)	4 970

Note: Highlighted underlined text is being removed from the licensed activity

- 2.4. Annexure B-2 will be replaced with a new Annexure B-2, which will show the mode of operation of the facilities as shown below.

Table 6: Mode of Operation

Mode	Receipt	Discharge
	Maximum Rate (m ³ /hr)	Maximum Rate (m ³ /hr)
Rail	N/A	2 200
Road	N/A	2 200
Pipeline	1 200 – 2 100	1 200

- vii) For the auxiliary pipelines (details in Annexure F of Licence Conditions) consisting of sixteen (16) auxiliary pipelines to be amended as follows:

Table 7: Auxiliary Pipelines

Current Licence Conditions with the Proposed Amendments highlighted			
No of pipelines	Pipe Diameter [inch]	Route	Length (m) (bi-directional)
1.	6"	Island View Site 3 to Berth 10 and Berth 4 (DMA diesel)	700
2.	6"	Island View Site 3 to Berth 7 & Berth 8 (Naphtha)	500
3.	8"	Island View Site 1 to Berth 6 & Berth 7 & Berth 8 (Jet)	1 300
4.	8"	Island View Site 1 to Berth 6, 7 & Berth 8 (LAWS)	700
5.	10"	Island View Site 2 via Site 1 to Berth 6, Berth 7 & Berth 8 (Petrol)	700
6.	10"	Berth 6 to Berth 7 & Berth 8 (Multi-Product)	100
7.	10"	Berth 6 to Berth 7 & Berth 8 (Multi-Product)	100

Current Licence Conditions with the Proposed Amendments highlighted			
No of pipelines	Pipe Diameter [inch]	Route	Length (m) (bi-directional)
8.	<u>12/14"</u>	Berth 7 to Berth 6 & Berth 8 (Petrol)	1 500
9.	12"	Bayhead A to Berth 7 & Berth 8 & (Petrol)	1 500
10.	20"	Island View Site 3 to Berth 7 & Berth 8 (Marine Fuel Oil)	300
11.	8/10"	Island View Site 1 to Berth 6, Berth 7 & Berth 8 (Kerosene)	700
12.	14/8"	Island View Site 3 to Berth 7 & Berth 8 (Marine Fuel Oil)	800
13.	10/12"	Island View Site 2 Via Site 1 to Berth 6, Berth 7 & Berth 8 (Petrol)	700
14.	10/12/14"	Island View Site 3 to Berth 6, Berth 7 & Berth 8 (Diesel)	800
15.	12/14"	Island View Site 3 to Berth 7 (Petrol)	300
16.	24/14"/24"	Bayhead A to Berth 6, Berth 7 & Berth 8 (Diesel)	1 500
17.	<u>12"/16"</u>	Site 1 to the MPP Terminal (Jet)	1 200
18.	<u>2x14"</u>	Bayhead A to MPP Terminal (Diesel)	1 200
19.	<u>2x14"</u>	Bayhead A to MPP Terminal (Mogas)	1 200

Note: Highlighted underlined text is being removed and text in **bold and highlighted** shows additions/corrections made

- 2.5. The overall resultant change to the licensed activity through the amendment will be a reduction of 1 storage tank, correction of various capacities, removal of 1 pipeline and 8 auxiliary pipelines and addition of 5 auxiliary pipelines needed to inject product into the MPP. The combined design storage capacity will change from 482 083m³ to 484 030m³, with the resultant increase in design storage capacity of 1 947m³, amounting to a minor increase of less than 1% (actual = 0.4%). This application under consideration will be read together with the lodged tariff application submitted simultaneously to this application by SAPREF.

3. THE APPLICANT'S TRANSFORMATION STATUS

- 3.1. bpSA is a private company registered in terms of the company laws of South Africa, with company registration number 1924/002602/07. In addition, Shell South Africa Energy (Pty) Ltd (Shell Energy) is also a private company registered in terms of the company laws of South Africa, with company registration number 2000/018439/07. However, the two parties, Shell Energy and bpSA have an incorporated joint venture as SAPREF registered in terms of the company laws of South Africa, with company registration number 1960/000007/07.

- [REDACTED]
- 3.2. According to the latest issued Broad-Based Black Economic Empowerment (B-BBEE) Verification Certificate valid until 15 April 2026, SAPREF is a Level 1 Contributor with [REDACTED] Black ownership and [REDACTED] Black Women ownership.

4. APPLICABLE LAW

- 4.1. The legal mandate for the Energy Regulator to amend the conditions of a licence it has issued is derived from the National Energy Regulator Act, 2004 (Act No. 40 of 2004) read with the Act.

5. DECISION-MAKING PROCESS

Confidential treatment of information

- 5.1. In accordance with section 16(3) of the Act and Rule 4 of the Rules made in terms of the Petroleum Pipelines Act, 2019 ('the Rules'), SAPREF submitted a request to treat certain information in its amendment application as confidential. On 20 February 2025, the Energy Regulator approved the following information to be treated as confidential:
- i. Identity Number (ID) of mandated representatives;
 - ii. Operational Capacities (Annexure C); and
 - iii. Drawings, Annexures, and plant Change Request (PCR) form Asset Retirement.

Public consultation

- 5.2. As required by section 4 of the Promotion of Administrative Justice Act, 2000 (Act No. 3 of 2000) ('PAJA') read with the Act and the Rules, NERSA published notices of the applications on 24 March 2025 in the *Business Day and Isolezwe* newspapers. These notices invited Interested and Affected Parties (I&APs) to submit written comments and/or objections on the application to the Energy Regulator by 09 May 2025.
- 5.3. The advert stated that NERSA will not hold a Public Hearing if no party has expressed interest in making oral representation to the Energy Regulator with respect to the matters published by 09 May 2025. There were no comments and/or objections received from I&APs towards the SAPREF application by the closing date of 09 May 2025. Therefore, a public hearing on the application did not take place.

6. ISSUES FOR CONSIDERATION

6.1. The following issues have been identified as the key issues for consideration in the application under consideration:

- a) Rationale for the Amendment; and
- b) Environmental Considerations.

A. Rationale for the Amendment

6.2. In terms of section 23(1)(a) of the Pipelines Act, *the National Energy Regulator may vary, suspend or remove any of the licence conditions, or may include additional conditions on application by the licensee*. As expressed in earlier paragraphs, the licensee wishes to amend its facility details by rectifying some of the design and operational capacities which were inaccurately recorded historically and removing infrastructure no longer in use from the licence conditions, either due to reaching its retirement or its service no longer required for the facility operations. Furthermore, the need to include the auxiliary pipelines to interconnect the SAPREF facilities to MPP TM1³. As part of the sales transaction of the refinery and associated assets, a due diligence verification were done, which also informed the need for certain changes and corrections to be done.

6.3. According to the application, the amendment sought by SAPREF is necessary to ensure that the correct information is reflected within the issued licence conditions. The revision of the facility details will ensure an updated regulatory asset base and is anticipated to provide a seamless processing of the tariff application which has previously been challenging to conclude due to the mismatch of information.

6.4. Historically, SAPREF had not been able to apply for a tariff due to the way its licence was worded and structured, which resulted in SAPREF being non-compliant with tariffs. The original combined licence was issued as a licence to operate the “system” consisting of the “petroleum pipelines and storage facilities,” which caused a challenge as the Act only recognises a “pipeline system” and therefore can only set tariffs for pipelines and approve tariffs for storage facilities. Therefore, on 6 April 2022, NERSA approved the first amendment restructuring of the licence under consideration wherein reference to a system of pipelines and storage facilities was removed.

³ Construction licence issued to BP Southern Africa (Pty) Ltd and Shell South Africa Refining (Pty) Ltd jointly (Licence No. PPL.p.F1/92/2010), 2 December 2010.

- [REDACTED]
- 6.5. It is on the back end of the above-mentioned amendment to licence conditions and the initiation of the tariff application for which SAPREF has in conjunction applied to rectify the details of the facilities to be able to align the tariff application with the issued licence conditions.
- 6.6. Should the Energy Regulator approve the proposed amendment as applied for, SAPREF will remain with the petroleum storage facilities with their auxiliary pipelines interconnecting the various sites. The only licensable pipeline as defined in the Act remaining, which is the crude pipeline between NATCOS and ex-SAPREF refinery, is no longer in use or needed because SAPREF no longer owns the refinery and therefore, no crude oil product is handled. Therefore, the resultant effect will be that the combined licence for the operation of petroleum pipelines and storage facilities will become a combined licence for the operation of petroleum storage facilities with auxiliary pipelines.
- 6.7. The removal from the licence conditions of some of the redundant assets is not anticipated to have an impact on the market nor have a threat on the security of supply but will rather enable the licensee to be fully compliant with its licence conditions. As stated in earlier paragraphs, the resultant change in storage capacity from 482 083m³ to 484 030m³, is insignificant with an increase of less than 1% (actual = 0.4%). More so, the change in the noted capacity is not as a result of addition of new tanks, but a clerical correction of stated capacities following the latest verifications done.

B. Environmental Indemnity

- 6.8. In terms of Regulation 9(1) of the Regulations made in terms of the Act, *Licensees must, not less than six months prior to termination, relinquishment, or abandonment of licensed activities, submit to the Authority a plan for approval for the closure, removal and disposal of all installations relating to such licensed activities.*
- 6.9. The application under consideration is an amendment to licence conditions, of the removal, amongst others, of some of licensed infrastructure from the licence conditions. In reflecting on the potential environmental implications thereof, the licensee was requested to indicate its decommissioning plans for infrastructure that has been stated as redundant and those being proposed to be removed from the licence conditions, including, an indication of any environmental liability for the decommissioning of such assets.

[REDACTED]

6.10. In response, the licensee provided documents indicating to the confirmation of the retirement of such assets and further indicated that although the infrastructure is confirmed of its redundancy, it has not yet been decommissioned, nor has there been a plan tabled yet on the decommissioning process. In line with environmental legislation, SAPREF will first have to approach the relevant environmental authority on the decommissioning plan and requirements. SAPREF has committed to duly notify NERSA in due course of the decommissioning process as required by the licence conditions. In addition, SAPREF indicated that in terms of the environmental aspects, it will be held liable for any environmental cost associated with the soil and groundwater as may be applicable, which will be carried out in line with the environmental legislation and the Transnet National Ports Authority codes of practice [where assets fall within the port limits].

6.11. No provision for Land Rehabilitation was submitted by SAPREF in the tariff application that is being processed in line with this amendment application. However, as per SAPREF's own acknowledgement expressed above, the lack of its provision for land rehabilitation does not absolve it from its obligations to set aside funds for such purposes. It will remain the duty of the Energy Regulator to ensure that a financial security for purposes of rehabilitating land used in connection with a licensed activity upon decommissioning or abandonment is accordingly set aside by the licensee as per Regulations 9(3). This will include a financial instrument approved by NERSA.

7. CONCLUSION

7.1. On the conspectus of the facts and evidence, it is appropriate and in compliance with the requirements of section 10 (1) of the National Energy Regulator Act, 2004 (Act No. 40 of 2004) to amend the conditions of the combined licence issued to bp Southern Africa (Pty) Ltd and Shell South Africa Energy (Pty) Ltd for the operation of a petroleum pipeline and petroleum storage facilities in Island View, Durban, KwaZulu-Natal Province (PPL.p.F3/8/2006/AM2).

Licence Number PPL.p.F3/8/2006/AM2

Combined licence for the operation of petroleum storage facilities with auxiliary pipelines issued to

bp Southern Africa (Pty) Ltd (Company Registration Number: 1924.002602/07) and
Shell South Africa Energy (Pty) Ltd (Company Registration Number: 2000/018439/07)

jointly

Amendment No. 2

As approved by the National Energy Regulator of South Africa on 30 June 2025

Effective date of amendment: **30 June 2025**

Amendments

1. Condition 1.1, in its entirety, is **replaced** with the following: Hereinafter “the facilities”
The Energy Regulator grants the licensee a licence for the operation of petroleum storage facilities in Island View, Durban, KwaZulu-Natal, consisting of the following:
 - (i) A storage facility in Island View Site one (1) with 16 tanks
 - (ii) A storage facility in Island View Site two (2) with six (6) tanks
 - a) A storage facility in Island View Site three (3) with 12 tanks
 - b) A storage facility on Bayhead Site A with eight (8) tanks; and
 - c) Auxiliary pipelines connecting Island View Sites 1, Island View Site 2, Island View Site 3, Bayhead A, Berth 6, Berth 7, Berth 8 and the Transnet Multi-Product Pipeline (MPP) (26 auxiliary pipelines connecting to all sites).
2. Replace **Annexures B-2, B-3, C-1, C-2, C-3 and F** in the current conditions of licence with new updated Annexures.

Signed at **PRETORIA** on the 09th day of July 2025.

NdP Sithole

Adv. Nomalanga Sithole
Chief Executive Officer

Annexures B-2

Table 1: Mode of Operation

Mode	Receipt	Discharge
	Maximum Rate (m ³ /hr)	Maximum Rate (m ³ /hr)
Rail	N/A	2 200
Road	N/A	2 200
Pipeline	1 200 – 2 100	1 200

Annexure B-3

Table 2: Auxiliary Pipelines running between the storage facilities

No of pipelines	Pipe Diameter	Route	Length (m) (bi-directional)
1.	6"	Island View Site 3 to Island View Site 2 via Site 1 (Petrol)	371
2.	6"	Island View Site 3 to Island View Site 1 (Marine Fuel Oil)	320
3.	6"	Island View Site 3 to Island View Site 1 (Marine Fuel Oil)	475
4.	6"	Island View Site 3 to Island View Site 1 (Aviation Gas)	386
5.	10"	Bayhead A to Island View Site 3 (Diesel)	1 030
6.	10"	Island View Site 3 to Island View Site 1	682
7.	10"	Island View Site 1 to Island View Site 2 (Multi Products)	650
8.	14"	Island View Site 1 to Island View Site 2 (Petrol)	426
9.	6/8"	Island View Site 3 to Island View Site 2 via Site 1 (Petrol)	371
10.	14/10"	Island View Site 2 to Island View Site 1 (Petrol)	60

Annexure C-1

Table 3: Island View Site 1¹

No of tanks	Tank No	Product	Design Capacity [m ³]	Operational Capacity [m ³]
1.	T2407	Mogas	10 256	
2.	T2431	Avgas	2 145	
3.	T2432	Jet fuel	5 416	
4.	T2433	Jet fuel	8 489	
5.	T2434	Avgas	1 640	
6.	T2435	Mogas	13 082	
7.	T2436	Kerosene	13 129	
8.	T2440	Kerosene	1 362	
9.	T2441	Kerosene	2 123	
10.	T2442	Jet fuel	3 058	
11.	T2443	Kerosene	265	
12.	T2445	LSAGO	1 588	
13.	T2446	LSAGO	357	
14.	T2485	AGO50P	8 501	
15.	T2486	AGO50P	5 078	
16.	T2487	AGO50P	2 390	
COMBINED CAPACITY			78 879	

Annexure C-2

Table 4: Island View Site 2

No of tanks	Tank No	Product	Design Capacity [m ³]	Operational Capacity [m ³]
1.	T2268	Mogas	12 383	
2.	T2269	Mogas	12 343	
3.	T2270	Mogas	12 352	
4.	T2271	Mogas	12 302	
5.	T2272	Mogas	12 378	
6.	T2273	Mogas	12 347	
COMBINED CAPACITY			74 105	

¹ **Where:** Mogas =Motor gasoline, i.e. Petrol; LAWS = Low Aromatic White Spirits; Avgas = Aviation gasoline; LSAGO = Low Sulphur Automotive Gas Oil, i.e. Diesel AGO50P = Automotive Gas Oil

Annexure C-3

Table 5: Island View Site 3²

No of tanks	Tank No	Product	Design Capacity [m ³]	Operational Capacity [m ³]
1.	T2350	VLSFO	34 124	
2.	T2351	VLSFO	12 345	
3.	T2352	VLSFO	12 324	
4.	T2353	HSFO	5 599	
5.	T2354	HSFO	7 719	
6.	T2359	DMA	4 970	
7.	T2360	DMA	4 941	
8.	T2361	DMA	5 664	
9.	T2365	HSFO	21 945	
10.	T2366	VLSFO	27 832	
11.	T2371	AGO50P	8 546	
12.	T2379	AGO50P	4 189	
COMBINED CAPACITY			150 198	

Annexure C-4

Table 6: Bayhead A

No of tanks	Tank No	Product	Design Capacity [m ³]	Operational Capacity [m ³]
1.	T2101	AGO50P	22 171	
2.	T2102	AGO50P	21 938	
3.	T2103	AGO50P	22 061	
4.	T2104	AGO50P	22 010	
5.	T2105	AGO50P	21 846	
6.	T2106	Mogas	22 180	
7.	T2107R2	Mogas	24 327	
8.	T2108R2	Mogas	24 314	
COMBINED CAPACITY			180 848	

² **Where:** VLSFO= Very Low Sulphur Fuel Oil; HSFO= High Sulphur Fuel Oil; DMA= Distillate Marine Fuel; AGO50P=Automotive Gas Oil

Annexure F

Table 7: Auxiliary Pipelines

No of pipelines	Pipe Diameter [inch]	Route	Length (m) (bi-directional)
1.	6"	Island View Site 3 to Berth 10 (DMA)	700
2.	6"	Island View Site 3 to Berth 7 & Berth 8 (Naphtha)	500
3.	8"	Island View Site 1 to Berth 6 & Berth 7 & Berth 8 (Jet)	1 300
4.	10"	Island View Site 2 via Site 1 to Berth 6, Berth 7 & Berth 8 (Petrol)	700
5.	14"	Berth 7 to Berth 6 & Berth 8 (Petrol)	1 500
6.	12"	Bayhead A to Berth 7 & Berth 8 & (Petrol)	1 500
7.	20"	Island View Site 3 to Berth 7 & Berth 8 (Marine Fuel Oil)	300
8.	8/10"	Island View Site 1 to Berth 6, Berth 7 & Berth 8 (Kerosene)	700
9.	14/8"	Island View Site 3 to Berth 7 & Berth 8 (Marine Fuel Oil)	800
10.	10/12"	Island View Site 2 Via Site 1 to Berth 6, Berth 7 & Berth 8 (Petrol)	700
11.	10/12/14"	Island View Site 3 to Berth 6, Berth 7 & Berth 8 (Diesel)	800
12.	12/14"	Island View Site 3 to Berth 7 (Petrol)	300
13.	24/14"/24"	Bayhead A to Berth 6, Berth 7 & Berth 8 (Diesel)	1 500
14.	12"/16"	Site 1 to the MPP Terminal (Jet)	1 200
15.	2x 14"	Bayhead A to MPP Terminal (Diesel)	1 200
16.	2x 14"	Bayhead A to MPP Terminal (Mogas)	1 200